

Research Briefing | Italy

Draghi effect cannot last forever

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- We remain sceptical that Draghi's reform agenda will be fully delivered and consider a long-term improvement in Italy's economic prospects as an upside scenario rather than a base case. Italy's chance of reforming its ill-structured economy has increased with the current government and the boost from NGEU. But, while Draghi has proved able to navigate the schizophrenia of Italian politics, he faces hurdles over the next few quarters.
- Civil and penal justice, public administration, taxation, land registry revision – these are some of the areas in which the government is trying to tackle some of Italy's long-standing problems. But none of these offers a quick fix to lift the economy out of its growth malaise. Moreover, some of these plans, in order to be effective, will need to be actively followed up by future governments.
- The recent positive developments have improved perceptions by foreigners, with foreign direct investment marginally up. But the improvement in domestic perceptions has been clearer, with stronger consumer confidence being a key factor behind the momentum of the Italian economy.
- Finally, the appointment of the President of the Republic in early 2022 and legislative elections will shake Italian politics. Both factors will certainly result in a less-friendly environment for any reformist agenda, either next year, in case of a change in government, or in 2023, after the planned elections.

The Draghi government has initiated a series of structural reforms. But we believe that the political environment over the next few years will be less supportive, and we continue to consider a permanent improvement in economic prospects to be an upside scenario and not the baseline. In the next sections, we take a look at the nature of the reforms, we assess their potential impact on the economy, and we outline the next key political events.

Figure 1: Italian consumer confidence is improving more strongly, for once

Eurozone: Change in consumer confidence

Normalized index, change between Jan 2021 and Oct 2021



Source : Oxford Economics, European Commission, Hove Analytics

Past and future perceptions of the economic situation have improved in Italy more than elsewhere. While it is difficult to attribute the improvement entirely to the current government, it's fair to say that it has had a positive impact. Improved confidence supports our above-consensus call for GDP growth in 2021 and 2022.

What the government has done so far

Promising, long-term reforms in the pipeline

Italy is betting a big chunk of its future on the decisions made by this government. **The Draghi government has initiated a series of reforms, most of them tied with the [NGEU package](#).** The idea is as simple as it is difficult: Adjust the institutional environment for Italy to become more attractive and equal, thus improving potential output.

However, a look at what has been achieved so far (**Figure 2**) reveals that most of the reforms have yet to go beyond the proposal stage (third column). A few are already quite advanced in the political process, but their positive impact will only be felt in the medium term. Moreover, we reiterate our longstanding view that none of these is an immediate panacea for Italy's problems.

Among the most important initiatives, the government is working on reforms to the civil and penal justice systems and public administration. With its poor institutional quality, Italy has long been a laggard to the other advance economies— the World Bank's governance indicators show that the quality of Italy's institutions and public-sector performance are among the lowest in the eurozone. Moreover, the length of judicial trials confirms the terrible performance of the Italian administrative system.

The current government is well aware that shortening the length of civil procedures would have an impact on potential output via more domestic and foreign investment and higher productivity. To start with, effort was put into modifying how civil cases are dealt with – **the final objective is to cut the duration of civil trials by 40%. But, given the huge backlog of civil cases, the government aims to reach this target only in the medium term, by 2026.**

Figure 2: The Draghi government has initiated a series of reforms

Reform	Main Objective	Status	Impact
Civil & penal justice	Reduce times by optimising practices and by finding alternatives (arbitration, mediation). The legal decrees outlining the steps and the reform of penal justice have been approved; the competition to employ extra staff has been published. The new legislation on civil proceeding and on insolvency has still to be approved.	Ongoing	Medium-term
Public administration	Speed up the procedure for NRRP-related activities. Employ skilled workers, initially for NGEU-related projects. Cap response time for procedures. The legal decree awaits second approval by the Senate; the competition to employ extra staff has been published.	Ongoing	Medium-term
Public procurement	Reduce delays in payment times by using a centralised platform. Simplify administrative burden.	Outlined	Medium-term
Taxation	Reorganise the tax system to make it more coherent across factors. Reduce taxation on productive factors such as labour. Reinforce the assessment of the efficiency and of the impact of expenditure items. Update the land registry (not completed before 2026).	Outlined	Immediate
Tax evasion	Perform data analysis and improve inter-database communication to identify non-compliers. Automate VAT filing to reduce costs and mistakes.	Outlined	Immediate
Competition	Publish a new competition law by the end of the year (a new law is supposed to be published annually, while the last one dates back to 2017). Lower entry barriers by improving infrastructure in energy, transport, and telecommunications. Foster labour market participation by reducing legal requirements to access regulated professions. The law draft has been proposed, but some measures have been delayed for compromise; funds have been devoted to infrastructure investment.	Outlined	Medium-term
Regulation	Simplify existing norms, also with a special focus on incentives and investment for Southern Italy. Hinder corruption. Improve effectiveness and quality, thanks to impact analysis. Hire professionals to achieve this.	Outlined	Medium-term

Source: Oxford Economics on governments' decisions

On the public administration front, the government is introducing some measures to simplify public procurement regulations and is speeding up procedures (also by hiring new workers). **But the area of intervention will be mainly related to NGEU projects.** And, although the government allows for some positive spillovers into other areas of the public administration in the future, the overall impact in the short term will be limited only to the implementation of the NGEU. Reforming public administration is clearly crucial for the success of NGEU projects, as Italy will secure a positive assessment from the European Commission and therefore receive EU funds only if it is able to meet certain deadlines and milestones. But it also reveals the difficulty of engineering a broad reorganisation of the public administration structure.

For other more politically sensitive areas, such as fiscal reform, Draghi's government was only able to propose minimal changes. In the 2022 draft budget, the government is devoting just below €10bn (around 0.5% of GDP) to tax cuts for each year in 2022 and 2023, meaning that a broader overhaul of fiscal changes will have to be decided in the future (and quite likely by a different government). And at the time of writing, it's not yet clear who will benefit from this tax cut, as the different political parties are pushing for their electorates to get a better treatment. Similarly, other areas of the budget have seen heated debate over a number of divisive issues, such as the reform of the citizens' income poverty-relief scheme (the flagship measure of the Five Star Movement) and the new early retirement regime, which will substitute the 'quota 100' reform, strongly desired by the League in 2018.

Another politically sensitive area is the update of the land registry, which determines property value criteria and therefore property taxes. The government said that the current update will only be a 'statistical exercise', with changes to taxation not occurring before completion (expected in 2026). This means that future governments will have (or choose not) to translate these 'statistical' changes into tax adjustments. And, with real estate one of the main assets held by Italian households, it's quite easy to predict some discontent and disagreement going forward.

In other areas, such as competition, the government has drafted a text, but so far left out the most politically sensitive issues. Moreover, in the latest official forecasts, the government has also revised its assumptions on NGEU funds allocation. The adjusted profile has postponed the bulk of the spending. Even "super Mario" had to face the constraints of the Italian public administration, with the main challenge for Italy remaining the ability to spend such a large amount of money in a limited time horizon.

Is the 'Draghi effect' on economic data sizeable?

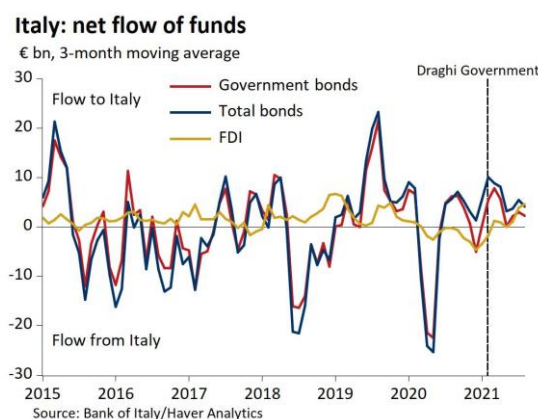
We have looked into the 'Draghi effect' (i.e., the confidence spur by the appointment of Draghi as PM), assessing the impacts on economic data or confidence. **Overall, we find that, despite the recent very positive international media coverage, the Draghi hype has not yet been bought fully by foreigners. Flows to Italy, such as foreign direct investment, have increased, but only marginally (Figure 3).** The share of foreign holdings of Italian debt has remained stable over the past quarters, at around 30%. And the recent increase in the Italian spread, after the ECB meeting at the end of October, suggests that the fate of Italian BTPs remains linked to monetary policy decisions.

Moreover, Italy's overperformance with respect to the eurozone over the past two quarters was driven by, among other things, greater resilience of Italian industrial activity and strong investment in the construction sector, supported by generous fiscal incentives. Both

No sizeable impact on economic and financial indicators from the 'Draghi effect'

factors cannot be linked to the new government per se. However, it is true (**Figure 1**) that **consumer confidence has increased in Italy more than in other countries – and this happened both for current and future expectations. While it is difficult to attribute this entirely to the current government, it is probably fair to assume it has had a positive impact, supporting our above-consensus call for GDP growth in 2021 and 2022.**

Figure 3: The ‘Draghi effect’ is visible on flows to Italy, albeit still very marginal



Since Draghi’s government took office this February, inflows to Italy have improved, both in terms of purchases of bonds and foreign direct investment. But the increase has only been very marginal so far.

Appointment of the President and legislative elections to shape Italian politics over the very next years

Two main events to shape the Italian politics over the next years

Mario Draghi is showing that he is more capable of heading this government than previous technocrat PMs, such as Mario Monti in 2011-13, although Draghi’s aim to unlock EU spending is much more politically viable than Monti’s goal, which was to deliver an austerity package. But two events over the next 16 months will shake Italian politics: the appointment of the President of the Republic in early 2022 and legislative elections.

Firstly, we see three possible outcomes for the President of the Republic: 1) Draghi switching from PM to President of the Republic; 2) the reappointment of the current President; and 3) the appointment of an outsider. If Draghi is chosen as President, this government will naturally end, although it could be possible that his cabinet will continue with only minimal changes and no snap elections.

However, legislative elections are due by spring 2023. And while it is a bit of a long shot to use [current](#) voting intentions as a proxy of what will happen, it is worth noting that the right-wing block is still slightly ahead, despite its poor showing in the recent administrative elections. The Democratic Party and the Five Star Movement have decided to join forces, but they are around 5ppts behind the right-wing alliance. The real unknown for the next elections is if the more centrist parties, such as former Prime Minister Silvio Berlusconi’s small Forza Italia, decide to back a radical right-wing government or try to play kingmakers in a more centrist government. Only in this latter case, could Draghi’s ongoing experience be used to lead such a government.

The factors described above are those that could shape Italian politics over the very next years. But **either way, the next Italian government will very likely not be as reformist as the current one.** And while we are more positive than a few months ago, we believe that the political environment over the next few years will not be as supportive as this one. Mainly for this reason, **we consider a long-term improvement in Italy’s economic prospects as an upside scenario rather than a base case.**